

finding software found the pattern for her within a week after turn D.

Volume trended downward (E) throughout the pattern, but the trend wasn't significant to performance in bull markets.

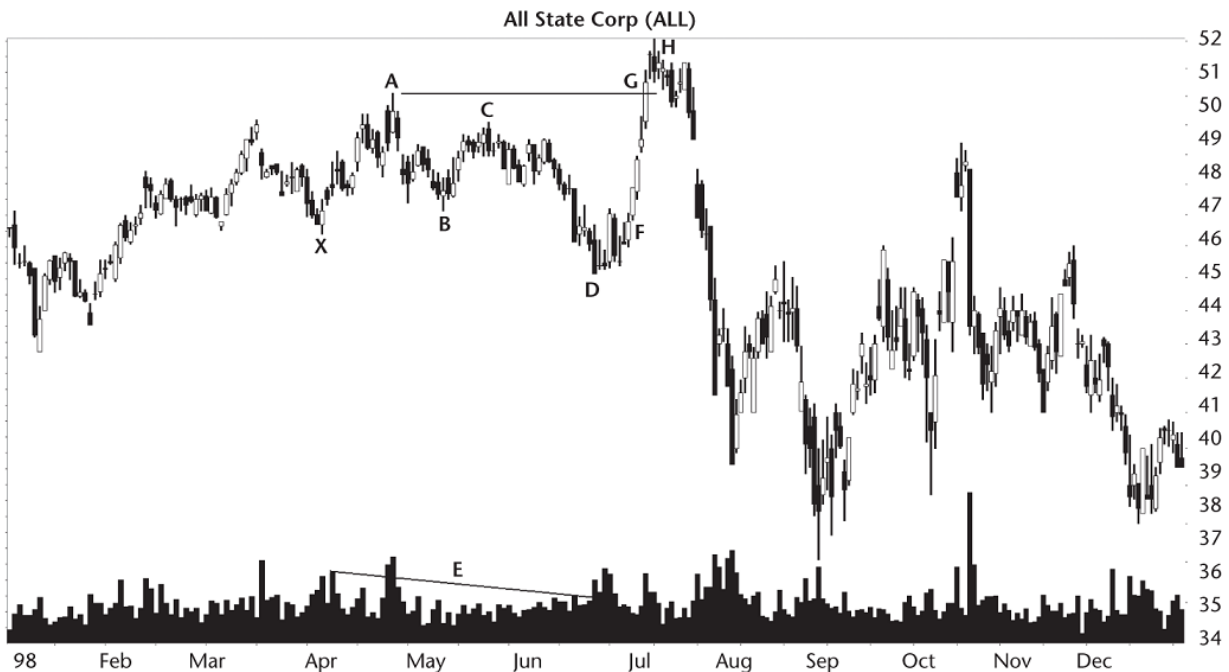


Figure 17.4 Mary traded this bullish butterfly for a quick 12% profit.

“I did my homework on the stock and liked what I found.” At F, she bought at the open and received a fill at 45.19.

The stock cooperated and didn't just move higher, it became a rocket. Price day after day formed higher highs and higher lows.

When the stock reached the top of the pattern, she knew it might stall there and form what's called a 2B pattern (it's not covered in this edition). A 2B pattern happens when price makes a new high but fails to follow through, meaning price doesn't rise far above a prior peak before reversing. If price drops far enough, it'll form a double or triple top. At other times, price will retrace a bit and then try for another high.

In this case, with the stock moving up so fast, she placed a trailing stop a penny below the prior day's low. After three consecutive days of higher highs and higher lows, the technique is a good method to exit near the end of an uptrend.